

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

NEW COAST TRADING (NCT), LLC, *Claimant*

v.

COSCO SHIPPING LINES CO., LTD., *Respondent*.

DOCKET NO. 2049(I)

Served: August 27, 2026

ORDER OF: Richard AMBROW, *Small Claims Officer*.

INITIAL DECISION¹

I. BACKGROUND

Claimant New Coast Trading (NCT), LLC, submitted a Claim, along with exhibits, that the Office of the Secretary (“OS”) received on February 13, 2026. On February 17, 2026, OS served the Claim and accompanying materials on COSCO Shipping Lines Co., Ltd. (“Respondent”).

In general, Claimant alleges that it has a service contract with Respondent, an ocean common carrier, to ship containers from the relevant point of origin to the relevant destination for \$1,615 per container. Respondent, however, charged Claimant \$2,015 per container for two shipments of five containers each after the service contract was in effect. Claimant alleges Respondent violated 46 U.S.C. §§ 40502, 40503, 41102(c) and 41104(a) and seeks \$4,000 in reparations.

Respondent filed a response on March 23, 2026 (the “Answer”). In its Answer, Respondent alleged that while it initially offered transportation at \$1,615 per container, it sent Claimant an email on July 18, 2025, with corrected rates, which were \$400 higher per container. (*See generally* Answer). Respondent also indicated that it is trying to resolve the matter by updating the rate for the two shipments at issue to reflect the amount of \$1,615 per container. (*See* March 23, 2026, email from Respondent to Office of Administrative Law Judges (“OALJ”) accompanying Answer).

This matter was assigned to me on May 11, 2026. After this matter was assigned to me, OALJ asked the parties several times via email for updates about a possible resolution. In an email of July 16, 2026, Claimant’s principal emailed OALJ and stated that the matter has been “PARTIALLY resolved” but did not provide details other than to say that the “second part of the

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

claim” has not been resolved. (*See* July 16, 2026, email from Claimant to OALJ (emphasis in original)).

On July 28, 2026, I sent an Order Requesting Additional Information (“RFI”) to the parties, requesting additional information to decide this matter. The RFI required all responses to be submitted by August 4, 2026, and all replies to be submitted by August 11, 2026. Among other things, I asked Claimant to provide all reasons it believes that the “practice” element of Section 41102(c) is satisfied, and which subsection of Section 41104(a) applies. (RFI, at 1-2). Claimant responded only by sending an additional copy of the Complaint. (*See* July 28, 2026, email from Respondent to OALJ). Respondent did not respond at all.

On August 12, 2026, I sent a Second Order Requesting Additional Information (“RFI2”) to the parties, requesting additional information specifically related to when Claimant paid the relevant invoices. The RFI2 required all responses by August 19, 2026, and all replies by August 26, 2026. Claimant responded by sending copies of payment receipts showing that it made a payment in the amount of \$8,140 on September 2, 2025, and a second payment of \$2,000 on September 5, 2025. (*See* Claimant’s Response to Order Requesting Additional Information (“RFI2 Response”)). Respondent did not respond at all.

As discussed below, Claimant’s claims are **DENIED** and the Complaint is **DISMISSED** because I lack jurisdiction to consider Claimant’s claim under Section 41104(a)(2), because the “practice” element of Section 41102(c) is not satisfied, and because Section 40503 is inapplicable.

II. FINDINGS OF FACT

1. Claimant is a limited liability company. (Complaint, ¶ 1; Answer, ¶ 1).
2. Respondent is an ocean common carrier. (Complaint, ¶ 2; Answer, ¶ 2).
3. The record contains a copy of service contract no. ECS25041 between Claimant and Respondent. (Complaint, at 18-41²). In relevant part, the service contract has a rate of \$1,615 for 40HQ containers from Columbus, Ohio, to Callao, Peru. (Complaint, at 29).
4. In an email dated July 15, 2025, an employee of Respondent emailed Claimant at 12:35 stating: “Confirmed that new service contract/rates have been filed.” (Complaint, at 13).
5. Respondent sent an email to Claimant on July 15, 2025, at 2:21 pm with a confirmation of booking no. 6424732250 (“250”). (Complaint, at 13).
6. Respondent sent an email to Claimant on July 16, 2025, with a confirmation of booking no. 6424871140 (“140”). (Complaint, at 13).
7. Respondent sent an email to Claimant on July 18, 2025, showing a rate of \$2,015 per container for booking nos. ‘250 and ‘140. (Complaint, at 13-14).

² The exhibits to the Complaint lack page numbers. I cite to the PDF page.

8. There is an invoice for booking no. ‘250 dated August 12, 2025, referencing rate agreement no. ECS25041, showing a rate of \$2,015 per container for five containers. (Complaint, at 4).
9. There is an invoice for booking no. ‘140 dated August 13, 2025, referencing rate agreement no. ECS25041, showing a rate of \$2,015 per container for five containers. (Complaint, at 5).
10. Claimant paid the invoices described in paragraphs 8 and 9 above on September 2, 2025, and September 5, 2025. (*See* RFI2 Response).
11. The record has a copy of a bill of lading for booking no. ‘140, for transportation of five 40HQ containers from Columbus, Ohio, to Callao, Peru, at a rate of \$2,015 per container, with a laden on board date of August 15, 2025. (Complaint, at 8-9).
12. The record has a copy of a bill of lading for booking no. ‘250, for transportation of five 40HQ containers from Columbus, Ohio, to Callao, Peru, at a rate of \$2,015 per container, with a laden on board date of August 23, 2025. (Complaint, at 6-7).

III. ANALYSIS

Claimant alleges violations of several sections of the Shipping Act, including Sections 41102(c), 40502, 40503, and 41104(a). I address its claim under 41104(a) and 40502 together first as they raise jurisdictional issues.

A. Sections 41104(a)(2), and 40502

Claimant alleges that Respondent violated Section 41104(a) by “charging rates other than those lawfully applicable.” (Complaint, ¶ V). I asked Claimant in an RFI to specify which subsection of Section 41104(a) applies. (*See* RFI, at 2). Claimant did not respond other than to send an additional copy of its Complaint. It appears, however, that Claimant only makes an argument under Section 41104(a)(2).

Section 41104(a)(2) provides: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not” provide service in the liner trade that is “not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title”

In turn, Section 40502 permits ocean common carriers to enter into service contracts with one or more shippers. (*See generally* 46 U.S.C. § 40502(a)). “Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” (46 U.S.C. § 40502(f)).

Section 41104(a)(2) is known also as the “Filed Rate Doctrine.” That doctrine holds that “a carrier must charge the rates duly filed under law in the carrier's tariffs and if those rates are reasonable under the applicable law the carrier must charge them notwithstanding” virtually any “defense that shippers could raise against the carriers’ demands for payment of the duly filed tariff rates.” (*SeaFair USA, LLC v. Sterling Container Line Ltd.*, Dkt. No. 22-34, 2024 WL

1741926, 8 F.M.C.2d 268, 279 (ALJ Apr. 15, 2024) (notice not to review May 16, 2024))). By its terms, the statute also applies to service contracts. (*Bakerly, LLC v. SeaFrigo USA, Inc.*, Dkt. No. 22-17, 2024 WL 95381, 8 F.M.C.2d 48, 86 (ALJ Jan. 3, 2024) (affirmed, 8 F.M.C.2d 611 (FMC Oct. 30, 2024))).

Here, Respondent arguably violated the Filed Rate Doctrine by charging the wrong amount by \$400 per container for each of ten containers. Both booking nos. 250 and 140 were for five containers each. (*See* Findings of Fact (“FOF”) ¶¶ 8-9, 11-12). The bookings were both made after the service agreement was put into effect. (FOF, ¶¶ 4-6). Service contract no. ECS25041 shows that the rate for 40HC containers from Columbus, Ohio, to Callo, Peru was \$1,615 per container. (FOF, ¶ 3). The invoices for both bookings show that the rates in service contract no. ECS25041 applied. (FOF, ¶¶ 8-9). Nevertheless, Respondent charged Claimant \$2,015 per container for each of the ten containers. (FOF, ¶¶ 7-9, 10-11).

Although Respondent arguably violated the Filed Rate Doctrine, the Commission lacks jurisdiction to hear Claimant’s claim under Section 41104(a)(2) because it is essentially a breach of contract claim. As noted above, Section 40502(f) of the Shipping Act provides that “the exclusive remedy for a breach of a service contract is an action in an appropriate court.” The Commission interpreted this provision in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Dkt. No. 99-24, 2000 WL 1648961 (FMC Oct. 31, 2000),³ stating:

We believe the more appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

(*Cargo One*, 2000 WL 1648961, at *12 (footnote omitted)). In that case, the Commission vacated and remanded the ALJ’s decision denying respondent’s motion to dismiss the complainant’s claims. The Commission noted that the complainant alleged that the respondent violated the Filed Rate Doctrine, then codified as Section 10(b)(1) of the Shipping Act of 1984, by “demanding payment of tariff rates in lieu of the agreed upon service contract rates.” (*Id.*, at *1; *see also id.*, at *5-7). The Commission dismissed the complainant’s Filed Rate Doctrine claim, as well as other claims, because those claims were “premised on the obligation to meet

³ In passing, the D.C. Circuit asked whether the Commission’s interpretation of Section 40502(f) in *Cargo One* “comports with the terms of the statute[.]” but did not address its own question as the parties did not dispute the Commission’s reasoning in *Cargo One*. (*MSC Mediterranean Shipping Co. v. Fed. Mar. Comm’n*, 141 F.4th 222, 233 (D.C. Cir., 2025)). Therefore, despite the question raised by the D.C. Circuit, *Cargo One* is still controlling.

one's contract commitments, and are therefore essentially breach of contract actions[.]” (*Id.*, at *15).

Applying *Cargo One* to this case, I find that Claimant’s allegation that Respondent violated the Filed Rate Doctrine, codified in the current Section 41104(a)(2), is substantially similar to the complainant’s Filed Rate Doctrine Claim in *Cargo One*, which was previously codified as a Section 10(b)(1) claim. In both the present case and *Cargo One*, the carrier on a service contract allegedly charged the wrong rate, as opposed to the contract rate. (*Compare* Complaint, ¶¶ 3-4, with *Cargo One*, 2000 WL 1648961, at *1). I note that the Commission in *Cargo One* said it was “not making specific denominations of section 10 allegations which may or may not be brought via a complaint other than those raised in the instant proceeding[.]” (*Cargo One*, 2000 WL 1648961 at n.15). Nevertheless, given that the 41104(a)(2) claim here is also “premised on the obligation to meet one’s contract commitments,” (*id.*, at *15) – namely, Respondent charging a fee contrary to the contractual terms – I find that Claimant’s Section 41104(a)(2) claim is also a breach of contract claim. Accordingly, per Section 40502(f), I find that the “exclusive remedy” for this alleged “breach of a service contract” is “an action in an appropriate court.”

B. Section 41102(c)

Claimant also alleges that Respondent violated Section 41102(c). That statute provides that: “[a] common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with another person, directly or indirectly, may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing or delivering property.” (46 U.S.C. § 41102(c)).

By regulation, the Commission identified the following five elements of a claim under § 41102(c):

- (a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property;
- (d) the practice or regulation is unjust or unreasonable; and
- (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4).

The Commission issued 46 C.F.R. § 545.4 in 2018. In the rulemaking for that rule, the Commission stated that: “Section 41102(c) was never intended to be a method of resolving every dispute that arises in the receiving, handling, storing or delivering of cargo.” (*Interpretive Rule*,

Shipping Act of 1984 (“*Interpretive Rule*”), 83 FED. REG. 64478, 64479). Instead, the Commission clarified that, historically, a violation of § 41102(c) (and its predecessor statute) requires a showing that, “. . . the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” (*Id.*) (citations omitted). In short, § 41102(c) does not create a remedy for a one-time unreasonable act. To state a claim under § 41102(c), the act at issue must occur on a normal, customary and continuous basis. (46 U.S.C. § 41102(c); *see also Crocus Investments, LLC v. Marine Trans. Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021)).

Focusing on the second element of a claim under § 41102(c), I assume, without deciding, that Respondent charged the wrong contractual rates for booking nos. ‘250 and ‘140. (Complaint, ¶¶ 3-4). Whether the incorrect charge on two bookings constitutes a “practice,” however, is a conclusion of law. (*Investigation of Certain Practices of Stockton Elevators*, No. 1072, 8 F.M.C. 181, 196 (FMC Jun. 30, 1964)). The burden of proof is on the claimant. (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C.2d 264, 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019) (settled on appeal, 1 F.M.C.2d 502 (FMC Dec. 19, 2019) (stating that, under the Shipping Act, “a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act.”); *see also* 5 U.S.C. § 556(d)). I asked Claimant how the “practice” element was satisfied in this case (RFI, at 2), but Claimant responded only by filing an additional copy of its Complaint. (*See* July 28, 2026, email from Respondent to OALJ).

I find that the facts here do not establish a “practice” for purposes of § 41102(c). This case is factually similar to *Stockton Elevators*, where the Commission affirmed the Hearing Officer’s conclusion that “an occasional practice such as here shown[,]” namely “the granting of five allowances or the arraigning for the single wharfage reduction” over the course of approximately five-and-a-half-months did not constitute a “practice.” (*Stockton Elevators*, 8 F.M.C. at 200-02; *see also Crocus Investments*, 2021 WL 3732849, at *8 (citing *Stockton Elevators*, and stating “Even six instances of ‘unreasonable conduct’ carried out over a period of several months involving the same entities have been ruled insufficient to prove that conduct was ‘uniform or continuous’ under § 41102 (or its predecessor, section 17 of the Shipping Act).”)). Here, two wrong charges shortly after the parties entered into a new service contract is not a “practice.”

Because the burden of proof is on Complainant, and because Complainant does not produce any evidence showing how the alleged misconduct constitutes a “practice,” Complainant’s claim that Respondent violated Section 41102(c) is without merit. I do not address the other elements of a claim under Section 41102(c) as it is unnecessary to do so.

C. Section 40503

Finally, Claimant alleges that Respondent violated Section 40503. I find that provision to be inapplicable. Section 40503 provides:

The Federal Maritime Commission, on application of a carrier or shipper, may permit a common carrier or conference to refund a portion of the freight charges collected from a shipper, or to waive collection of a portion of the charges from a shipper, if—

(1) there is an error in a tariff, a failure to publish a new tariff, or an error in quoting a tariff, and the refund or waiver will not result in discrimination among shippers, ports, or carriers;

(2) the common carrier or conference, before filing an application for authority to refund or waive any charges for an error in a tariff or a failure to publish a tariff, has published a new tariff setting forth the rate on which the refund or waiver would be based; and

(3) the application for the refund or waiver is filed with the Commission within 180 days from the date of shipment.

By its terms, Section 40503 applies only to tariffs. Tariffs are distinct from service contracts. (*See D.F. Young, Inc. v. NYK Line (North America), Inc.*, Dkt. No. 16-02, 2017 WL 3382690, at *19-20 (ALJ Aug. 1, 2017) (settled on appeal, May 22, 2018)). As this case involves allegedly improper rates charged under a service contract, Section 40503 is inapplicable.

IV. CONCLUSION

For the reasons discussed above, it is **ORDERED** that the Complaint is **DENIED** and **DISMISSED**.

SO ORDERED

Richard C.

Ambrow Jr -S

Richard Ambrow
Small Claims Officer

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